Figure 23.5 Overhead resistance blocks the upward breakout from this diamond bottom. This is a single-diagonal diamond.

Figure 23.5 shows an example. Is this a valid diamond? Price trends downward into the pattern, the diamond shape is clear, but volume trends upward (higher on the right than the left). Is the rising volume trend cause for concern? No. Breakout day volume is also low instead of high, but who's counting? Everything looks fine except for volume. If this were my trade, the volume anomalies would not even register. I would be more worried about something else. Do you know what it is?

Look at the figure again. See that descending triangle hanging above the diamond like an approaching storm? Although you may not recognize the triangle pattern, you should be on the lookout for overhead resistance. That solid block of near-horizontal price movement starting in October—where the triangle begins—to December where it ends, would scare me off. The only way I would take this trade would be to short it once price turned down at the triangle.

That is essentially what happened. Price broke out upward and the massive overhead resistance stopped the rise. Price threw back to the diamond but kept going down. Let me also mention that this pattern occurred in the middle of a bear market. So, we had a bear market sucking price lower, a falling price trend leading to the diamond, and massive overhead resistance. The only surprise would be if the price floated like pumice instead of sinking as does a diamond tossed into a pond. Your job as a trader is to find the gems that float.

Table 23.2 General Statistics

Description	**Up Breakout**	**Down Breakout**
Number found	351	126
Reversal (R), continuation (C) occurrence	100% R	100% C
Average rise or decline	39%	–19%
Standard & Poor's 500 change	11%	–3%
Days to ultimate high or low	182	40
How many change trend?	56%	39%